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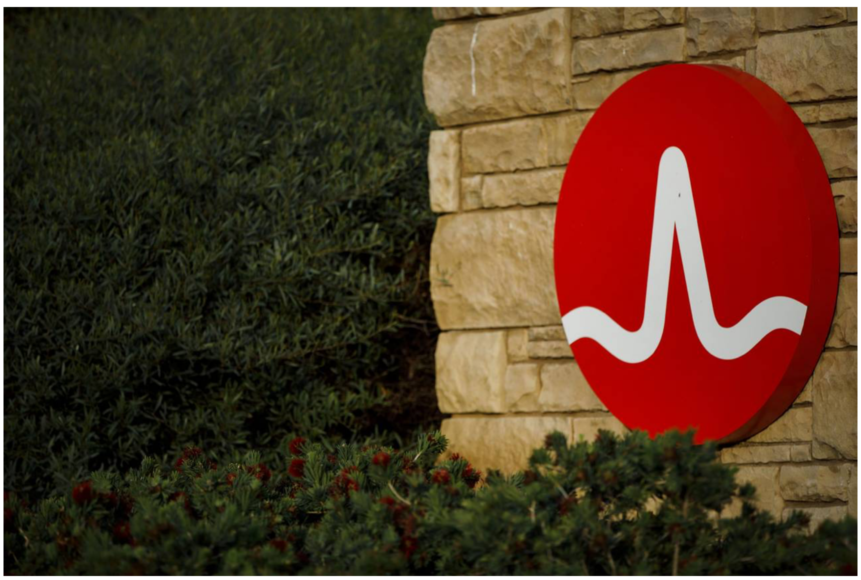
Broadcom Doing Just Fine on its Own

Chipmaker's stock has languished since Qualcomm effort killed, but performance remains solid

By Dan Gallagher
June 7, 2018 at 6:42 pm ET



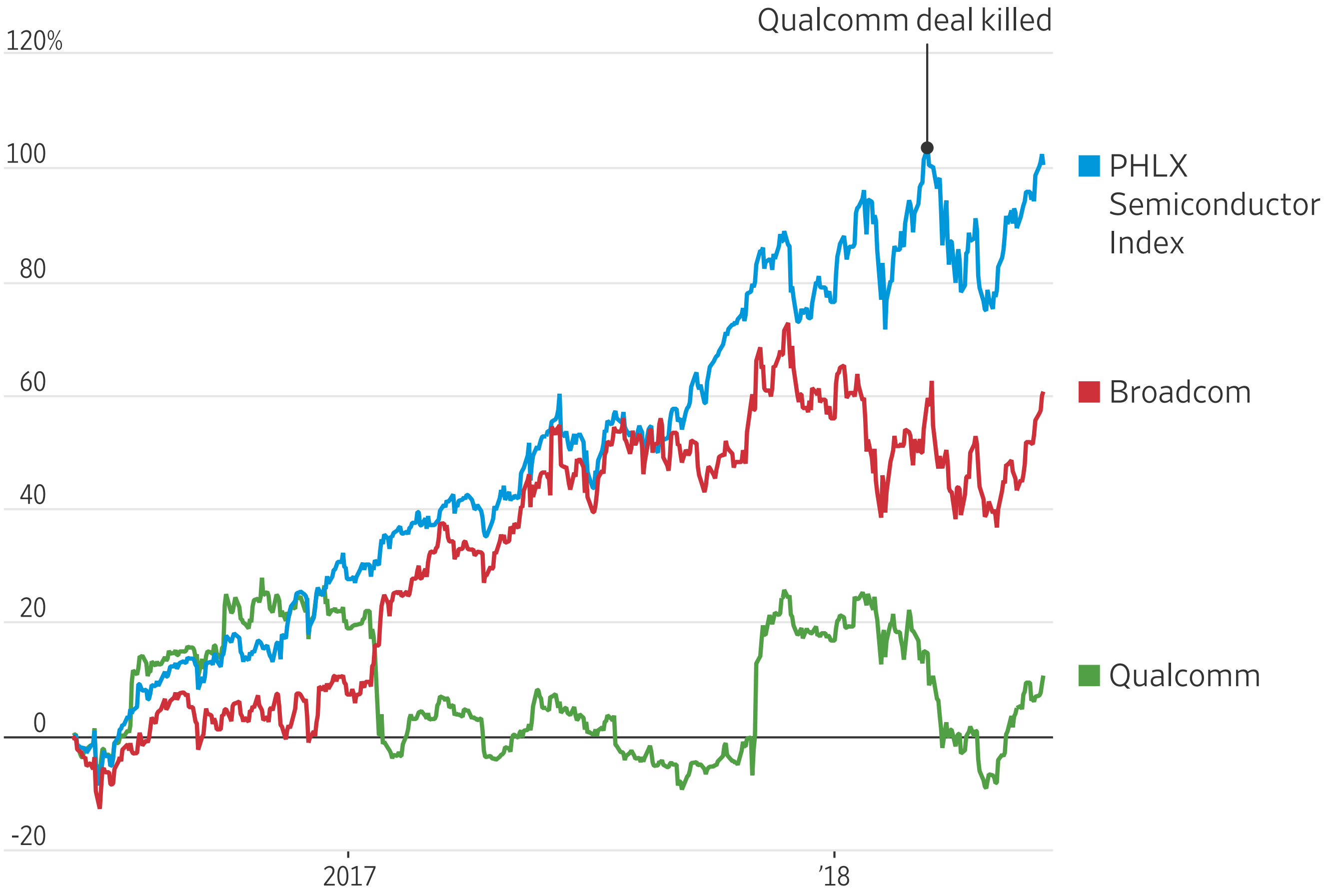
Broadcom Ltd. reported that second-quarter revenue jumped 20%. PATRICK T. FALLON/BLOOMBERG NEWS

Sometimes saving $117 billion can be costly.

Take Broadcom AVGO **-0.74%** ▼ , whose share price has only recently recovered from the beating it took after President Donald Trumpformally barred the company from buying Qualcomm QCOM **-0.36%** ▼ back in March. Its 3% gain for the year leaves it among the worst performers among constituents of the PHLX Semiconductor Index, which has risen by 14%. That Qualcomm's shares have done even worse is some consolation, but investors still seem to be wondering what to do with the hyperacquisitive Broadcom in an environment in which huge global deals have become much harder to pull off.

Chipped Off

Relative share price performance, last two years



Source: FactSet

Broadcom's fiscal second-quarter results reported Thursday afternoon should provide at least some clue. Revenue jumped 20% year-over-year to $5 billion, in line with the chipmaker's pre-announcement a month ago. Operating income more than doubled to $1.2 billion. This was despite a sharp reduction in shipments to the "large North America customer" that is code-speak for Apple Inc. The iPhone maker accounts for about 20% of Broadcom's business, estimates Stacy Rasgon of Bernstein.

Pulling off such a performance despite pressure from such a large buyer is notable, and Broadcom remains a cash machine with free cash flow surging 58% year-over-year to a new record of $2.1 billion for the quarter. Losing the Qualcomm deal also freed up more cash to distribute. Broadcom announced a $12 billion buyback in mid-April and already has gone through $1.5 billion of that program. Broadcom's dividend yield of 2.6% also is one of the highest of its chip peers.

For all this, Broadcom shares are fetching less than 14 times forward earnings—the cheapest among large-capitalization chipmakers. That isn't a bad price for a company whose solo act is going strong.

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Dan Gallagher is a former columnist for The Wall Street Journal's Heard on the Street, where he covered the technology and media industries. His work for the Heard column spanned the businesses of artificial intelligence, semiconductors, internet, software, hardware, advertising, streaming TV and film. Dan also wrote WSJ's AI &...

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